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Chairperson and CEO
Energy Regulatory Commission (ERC)
12th Floor, Exquadra Tower, 1 Jade Drive,
Ortigas Center, San Antonio, Pasig City

Subject: **DETAILED INCIDENT REPORT ON RED AND YELLOW ALERT DECLARATIONS ISSUED ON 12 TO 14 MAY 2026**

Dear **Chairperson Juan**:

This is to provide ERC the detailed incident report regarding the Red Alert and Yellow Alert declarations issued by NGCP System Operator (SO) on 12 to 14 May 2026 affecting portions of the Luzon and Visayas Grids, in response to the ERC and Department of Energy (DOE) letters dated 14 May 2026.

The grid alerts in Luzon and Visayas developed from the series of operational events under tight system conditions during summer peak demand.

Prior to the incident, Luzon Grid was already operating in moderately **reduced operating margin** with approximately **1,728MW** from generating power plants that were on **unplanned outage and derated capacity**. Meanwhile, the Visayas Grid is heavily reliant on power import from Luzon and Mindanao Grids through the existing High Voltage Direct Current (HVDC) interconnection to meet its demand requirements.

The Visayas Grid was operating in limited local generation with approximately 857MW on unplanned outage and derated capacity, mainly attributed to the unavailability of the three largest units namely, **Therma Visayas Inc. (TVI) U1 & U2** and **Panay Energy Development Corporation (PEDC) U3**. TVI U2 was out since 24 March 2026 at 2117H, PEDC U3 on 6 May 2026 at 1615H, and TVI U1 on 12 May 2026 at 1616H. Due to these subsequent outages, the Visayas Grid was placed under Yellow Alert on **12 May 2026**.

On **13 May 2026** around 0446H in the Luzon Grid, **Dasmariñas-Ilijan 500kV line** tripped followed by the tripping of **Tayabas-Ilijan 500kV line** at 0630H. This resulted in the **isolation** of **Ilijan Block A & B** and **EERI Units** with a total of **1,319MW**, activating Automatic Load Dropping (ALD) affecting MERALCO and non-MERALCO feeders. The fault was cleared 51ms for Dasmariñas-Ilijan 500kV line and 57ms for Ilijan-Tayabas 500 kV line, which are both within the Philippine Grid Code (PGC) requirements.

Separate from this transmission line tripping, **Palayan Binary** (24MW), **Masinloc Unit 3** (307.2MW), and **Bacman Unit 3** (20MW) likewise **tripped** at 0630H, 0634H, and 0637H, respectively, on the same day, further reducing available capacity amounting to **reduction** of **351.2MW** generation capacity.

Following these disturbances, NGCP continuously coordinated with the generating companies to determine the restoration timeline. Prioritizing system normalization, NGCP proceeded with coordination efforts to restore the ALD-affected feeders and 500kV transmission lines. Transmission linemen were mobilized to facilitate the urgent restoration of the affected 500kV lines. Initial projections following these incidents indicate that the Luzon Grid will be placed on Yellow Alert during the intervals 1600H to 1700H and 1900H to 2100H. Meanwhile, the Visayas Grid is projected to be on Red Alert from 1600H to 2000H due to the unavailability of imports from Luzon via the HVDC link.

Still on the same day, the **Tayabas-Ilijan 500kV line** was **restored at 1444H**, followed shortly by the Ilijan-EERI 500kV lines at 1506H, providing feedback power to the isolated plants. The **Dasmariñas-Ilijan 500kV line** was subsequently **restored at 1652H**. Based on the initial findings, the immediate cause of the tripping of Dasmariñas-Ilijan 500kV line was traced to a down Phase B conductor on Phase C tower arm due to mechanical failure of composite insulator. Meanwhile, cause of the tripping of Ilijan-Tayabas 500kV line was also due to mechanical failure resulting to a cut Phase A conductor located between Structure Nos. 129 to 130.

However, **additional unavailable capacities** on the same day from **Binga Unit 3**, **Casecnan Unit 1**, and **Limay Unit 8** with a combined capacity of approximately **185MW**, further reduced the available operating margin. Coupled with the increase in system demand of approximately 153MW, the operating conditions of both Luzon and Visayas Grids further deteriorated. Consequently, the Luzon Grid escalated from Yellow Alert to Red Alert for interval hours 1600H to 2000H, while the Visayas Grid was placed under Red Alert for intervals 1600H to 2000H, earlier than the initially projected interval.

The grid condition further deteriorated following the subsequent **unavailability** of **Kalayaan Units 2 & 4** and **Limay Unit 4**, resulting in an **additional reduction** of approximately **450MW** in available generation capacity and increasing the total unavailable capacities of **4,827MW** due to **forced outages and deration**.

Masinloc Unit 3 synchronized at 1621H, and EERI Unit 1 returned to service at 2151H on the same day, improving available capacity in the Luzon Grid. However, **Ilijan Blocks A & B** remained on outage due to a **tube leak in common boiler**.

Further, on the same day, Manual Load Dropping (MLD) started at 1447H for Luzon Grid and 1545H for the Visayas Grid followed by the issuance of Market Intervention (MI). Affected MLD in the Visayas Grid were fully restored by 2151H. With the low actual demand, Red Alert in the Visayas Grid was lifted at 2223H. On the other hand, with persistent high demand in Luzon Grid and discrepancy in the demand forecast provided by the Independent Electricity Market Operator of the Philippines (IEMOP), Red Alert in Luzon Grid was extended to 0100H on 14 May 2026. The last feeder restored was 0043H and Red Alert was lifted at 0122H. Market operations resumed at 0050H on 14 May 2026 for Luzon Grid and earlier in the Visayas Grid at 2200H on 13 May 2026.

On **14 May 2026**, Red and Yellow Alerts in Luzon Grid covered 1600H to 2300H while the Visayas Grid covered 1600H to 2200H intervals (see attached for details). EERI Unit 2 synchronized at 0731H but was forced to **shutdown again** at 0832H following the **detachment of its intermediate pressure feedwater relief valve tubing**. Meanwhile, EERI Unit 3 remains **unavailable** due to a **circulating water pump pipeline breather leak**.

In the Visayas Grid, on the same day, the shutdown of Palinpinon Geothermal Power Plant (PGPP1) Unit 3 at 0209H further depleted the region's already limited capacity. MLD was implemented in the Visayas Grid at 1511H and in Luzon Grid at 1520H, prompting a SO-initiated MI. All affected feeders were fully restored by 2151H in the Visayas Grid and 2350H in Luzon Grid, with market operations resuming at 2200H and 2400H, respectively.

In summary, the Red and Yellow Alert declarations on 12-14 May 2026 resulted from the several contributing factors under tight summer peak conditions, namely:

- **Pre-existing reduced operating margin** in the Luzon Grid, with approximately 1,728MW on forced outage and de-rated capacity prior to the event
- **Limited local generation in the Visayas Grid**, with approximately 857MW on forced outage and de-rated capacity due to the simultaneous unavailability of TVI Units 1 & 2 and PEDC Unit 3, which had placed the Visayas Grid under Yellow Alert **as early as 12 May 2026**
- **Tripping** of Dasmariñas-Ilijan and Tayabas-Ilijan 500kV Lines, resulting in the isolation of approximately 1,319 MW from Ilijan Blocks A & B and EERI units
- Separate from the above, the **forced outages** of Palayan Binary, Masinloc Unit 3, and Bacman Unit 3 contributing approximately 351.2MW
- Distinct from the aforesaid incidents in the Dasmariñas-Ilijan and Tayabas-Ilijan 500kV Lines, **subsequent forced outages** of Binga Unit 3, Casecnan Unit 1, and Limay Unit 8, contributing to approximately 185MW
- **High system demand** of approximately 153MW which is above the forecasted demand on 13 May 2026
- Separate from Dasmariñas-Ilijan and Tayabas-Ilijan TL incidents, **further forced outages** of Kalayaan Units 2 & 4 and Limay Unit 4, contributing approximately 450MW and bringing total unavailable capacity to approximately 4,827MW
- Consequent **unavailability of power imports from Luzon Grid** through the HVDC interconnection, contributing to the Red Alert in the Visayas Grid

Attached is the following information related to the incident report:

1. Reserve and Supply Levels Assessment
2. Red and Yellow Alert Notices
3. Significant Incident Reports
4. System Advisory of Line Tripping

This is for the reference of the Commission.

Sincerely,

ANTHONY L. ALMEDA
President and CEO

Encl: *as stated*

Cf: ***SHARON S. GARIN*** *– Secretary, DOE*
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